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OUTLINE OF OBSERVATIONS OF CONDITIONS IN FORMOSA

BY A CERTAIN JAPANESE (31 Aug 49)

This information is a rearrangement of the gist of a document on the observations of the situation in Formosa by an un-named youth strong in racial democratic tendencies. This document was sent to a close active-service colleague, after he had gone to Formosa with a Chinese friend after the end of the war. During the war, this youth lived in Shanghai and did intelligence work. I would like to submit this as reference to the U.S. Army intelligence authorities with the idea of showing them how the Japanese people look at the situation in Formosa, because his observations touch the main points.

I. Potentiality of the Nationalist in Fighting the Chinese Communists.

At present the Nationalists are losing the confidence of the people internally as well as abroad. In short the Nationalists are in their last stand.

A. Military Potentiality.

The Nationalist Air Force, consisting of four air wings, is aggressive, vigorous and loyal to the Nationalist Government. They are making daily raids toward Shanghai with from 50 to 60 planes.

However, their morale is maintained merely by the good pay (besides receiving pay, they receive commodity allowances, and their pay is about 45 to 50 percent higher than men in the army or the navy) and the fact that they do not face the enemy because the Chinese Communists do not have an air force. The men of the air force hold the men of the army and navy in contempt and are calling them a defeated army. Therefore, there exists extreme enemity between the air force and the army and navy.

Actually, the army is a defeated group. Their military discipline is poor and their organization as well as equipment is in poor shape. Although they say that their strength is approximately 400,000 to 1,000,000 men, it is doubtful whether anyone knows the exact number. They are continuosly abandoning their zones and each time they move to a new area they are exacting taxes from the residents of that area. Although the leaders of the army are trying to maintain discipline by means of severe punishments for violations, they have not achieved any good results.

Thus being the situation, the 200,000 Nationalists troops sent to Fukien Province some time ago have disappeared without fighting after hearing about the amazing advances of the Chinese Communist troops.

Moreover, the Chinese refugees and Formosans in Formosa are surprisingly afraid of being conscripted. Once the rumor of conscription goes around, it is said that the military and government officials make huge fortunes by accepting bribes. Thus, anti-war and anti-army feelings prevail among the people.

In view of the above mentioned points, one may believe that the Nationalist Party is not an absolute enemy of the Communist Army in a military sense.

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B. Supply Efficiency.

Post-war Formosa is going to ruin because her prewar industry has been poorly managed and the equipment has not been maintained. At present her industries are incapable of supporting her population, which has increased from the pre-war polulation of approximately 200,000,000 (TN: Sic) people.

Production in agriculture is also at its lowest ebb. The yield of rice has also dropped from three bushels to two bushels due to the scarcity of commercial fertilizer.

Therefore, it would be utterly impossible for the Nationalist Government to use Formosa as their supply base in their fight against the Communists.

C. Political Efficiency.

At present, CHIANG KAI-SHEK and his colleagues as well as the leaders of the Nationalist Party have already lost complete confidence in the anti-Communist war. Moreover, CHIANG's direct subordinates have grasped control of the Nationalist Party and are exploiting the people through various methods. Members who advocate reform are immediately jailed or assasinated, thus, there is no hope for a reform in the Nationalist Party.

The Nationalist administration of Formosa is just plain maladministration. Although the population has doubled from 6,000,000 to 10,000,000 people, the number of government and public officials has suddenly increased eleven-fold. This was caused by the vast number of Nationalist officials who fled to Formosa and forced themselves into government jobs.

The island's people are suffering from the unlawful taxes. The refugee officials from the continent have taken their homes and their jobs. The administration of the island's people has made it so that the circulation of money is limited, thus ruining their enterprises and putting them in a helpless position. Accordingly, many of the island's people want to get away from the present situation whether it be through the U.S. or the Chinese Communists.

However, the peoples volunteer army system, adopted by the provincial government, has completely suppressed the people. Thus, movements under Formosa Democratic League, the Chinese Communists and other anti-nationalist groups are impossible. The question is, how long will such a Nationalist administration continue? However, since the people's sentiments are on the verge of exploding, if the Nationalist pressure should be relaxed, the political confusion within the island will probably be amazing.

D. Strategic Strength.

Although the Chinese Communists were not accustomed to city administration, they were forced into the task of administrating Nanking and Shanghai since their capture. However, the Nationalists are watching for the split in the Communist administration of Shanghai, which will be inevitably caused by the complicated international interests, and they are strategically planning to lead public sentiments to revolt. This is because the failure in the administration of Shanghai would mean the failure in the administration of all China, and may be interpreted as the concentration of all Nationalist policies toward this point.

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Thus, the two following methods are being taken by the Nationalists in carrying-out this strategic policy.

1. The enforcement of air and sea blockade.

The encirclement of Shanghai by the Nationalist naval forces and air force is to block sea and land traffic and its effects are gradually becoming evident.

2. Actions by strategic organizations still remaining.

At the time of the Nationalist withdrawal from Shanghai, the Nationalist left many members of the "GUNTO" (Secret police organization similar to former CIC) in the vicinity of Shanghai and assigned them to conduct strategic espionage activities against the Chinese Communists.

Although about 500 members of this organization were arrested, their number in comparision to the total number of members, is of negligible concern. The leader of this secret organization is MAOSEN and its headquarters is in the CHUSAN Archipilago. Some hope may be held for this secret strategic organization.

II. Political influences on Formosa other than that of the Nationalist Party.

Activities on Formosa by political influences other than that of the Nationalists is almost impossible due to the severe suppression by the Nationalists.

A. Chinese Communist Influence.

After World War II, the Chinese Communist sent their two famous women party members, HSIEH HSUEH HUNG and LIAO WEN YI, to Formosa. They extablished a foothold within the Formosa Democratic League. After infiltrating into the League they organized the so-called February Revolt in 1946, but due to severe Nationalist suppression, both of them were forced to flee Formosa. At present, the Communist can make no movements in Formosa due to the strict enforcement of the people's volunteer army system and suppression by the Nationalists. They are merely conducting long-range "bombardment" by means of appealing to the island's people with anti-Nationalist, pro-Communist and anti-U.S. policies.

However, in view of the people's sentiment in regard to their attitude toward the elimination of such a situation, it is quite possible for the influence of the Chinese Communist to spread throughout the island.

B. The Influences of the Island's People.

As previously mentioned, the natives of Formosa are treated like foreign nationsla and are living miserable lives under the severe suppressive policy of the Nationalist Government. Their political desires changed from the original independence to self-government than to international administration and at present they have gone as far as to hope for anything or anybody who can eliminate the present situation. At present, the situation is so different from the time when the influences of the Formosa Democratic League, Formosa Self-government Committee, etc. acted openly it may be said that activities by these influences within the island are impossible. Thus, these influences are using Hongkong as a base and are conducting some activities from there.

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Among these influences, HUANG NAN P'U, member of the Formosa Self-governing Committee, who recently returned from an observation tour of North Korea, Communist Manchuria and North China, stated that although he had actually seen Leninism in practice he had some doubts about it. This fact should be taken in deep consideration.

In order to prevent the infiltration of Chinese Communist influences after the elimination of Nationalist pressure and to grasp the native's sentiment, diplomatic and strategic policies should be considered as two separate problems and a line should be drawn between them.

APPENDIX:

My own opinions concerning this information.

I. The Nationalist Government is already collasping and has lost its political power to control the Chinese people. However, in view of the original strategic policy growing out of the special characteristics of the Chinese people, I believe that there is a certain degree of hope in the strategic policy of the Nationalists directed toward the Chinese Communists. With this in mind, back-ground assistance to the Nationalists by the U.S. will be the best policy.

2. The future of Formosa is a matter of great interest to we Japanese. Although we have no intention of re-occupying Formosa, we cannot permit it to fall under the influence of the Chinese Communists. In case Nationalist political power should collapse we would like to have the spread of Communist influence into Formosa prevented. The fact that this conversion of Formosa has not taken place before the peace treaty is concluded is a most blessed thing.